

Scenario questions – Part 2

Scenario 1

1. Would improving the trade execution process fall under Business Audit or Tech Audit? Explain your response.

- A. Improving the trade execution process falls under **Business Audit** because it relates to trading performance, client impact, and financial outcomes. The delays and discrepancies between trade order and execution directly affect efficiency and cause financial losses, which are key business concerns. While technology issues may contribute, Business Audit focuses on the overall process effectiveness, whereas Tech Audit would mainly assess system or infrastructure problems.

2.

3. Explain how improving the trade execution process can benefit the Fixed Income Trading Desk and its clients.

- A. The improvement of the trade execution process would help the client to execute the orders in the industry standard execution time, which is 3 seconds, prevent execution delay and financial losses, it would also improve client's trust and transparency overall company reputation

Scenario 2

1. Given the increase in NPLs, what aspect of the post-approval process could be strengthened to improve loan performance?

- A. The non-performing loans increased from 4.5% to 7.5% from last year. Regular reviewing and monitoring of the client companies and Identification of early repayment risks could help to improve loan performance.

2. Explain how improving the credit risk assessment process can benefit the GBM division and its clients.

- A. Improving the credit risk assessment process helps the GBM division reduce non-performing loans by evaluating borrowers through financial statements, cash flow analysis, credit scores, and risk assessment before approving loans.

This improves loan quality, reduces financial risk, strengthens decision-making, and helps build stronger trust and long-term relationships with clients.

Scenario 3

- 1. Identify one potential weakness in the current AML transaction monitoring process and suggest a specific improvement to address this weakness.**
 - A. The suspicious transactions identified are 50, and the transactions reported are 30 (60%) which is 30% less compared to industry standard transaction reporting. This indicates a gap in the escalation and reporting stage of the AML process, suggesting that even when suspicious activities are detected, they are not consistently or correctly escalated for regulatory reporting, which increases compliance risk and exposure to potential penalties.
- 2. Explain how improving the AML controls can benefit the GBM division and its clients.**
 - A. Improving AML controls benefits the GBM division by reducing the risk of regulatory penalties, legal actions, and reputational damage, while also strengthening internal compliance, audit performance, and overall risk management effectiveness.